

with people with a track record of success, it is unlikely you will step into a fraud like Sino-Forest.

Third, stay away from weird things — you know, companies that do things you can't understand. If you don't understand how they make money — see Sino-Forest — run!

Fourth, avoid the hot sectors of whatever market you're in. Biotech has been hot. No surprise that a number of short ideas presented at the congress were biotech. That's where promoters and shysters go because that's where they can get the biggest bang for the buck. The sector is rife with fraud.

Ditto anything engaged in “social media” or “cloud computing” or any of the other buzzwords making the rounds. Be careful around companies that seem to be created mainly to scratch an investor's itch.

Remember, a few years ago, people wanted ways to invest in a housing recovery. Then boom, all these housing REITs start popping up. Be careful.

They may not be frauds, but they are probably not great investments.

When it comes to fraud, I always think of a line from Phelps, who dedicated a chapter to stock manipulation: “In Africa, where there are no antelope, there are no lions.”

By taking some reasonable steps, you can avoid becoming prey.

Do Ignore Forecasters

Investing is tough for a lot of people because they expect they can trust the opinion of experts. Yet in the world of markets, the so-called experts get an awful lot wrong. However, if you look carefully at the kinds of errors they make, you can weave a reliable investment approach from the cloth of human folly.

For example, look at earnings estimates. Wall Street analysts publish earnings estimates for stocks. Investors often aggregate these estimates to come up with a “consensus.” When earnings come out, the media will talk about how such and such a company beat or missed the consensus. A good beating can send a stock up strongly, while a miss can send it tumbling.

Many investors watch these estimates like hawks and rely on them